PRICING STRATEGIES & TACTICS



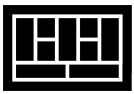
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SUPER GUIDE:

PRICING STRATEGIES & TACTICS

BY DANIEL PEREIRA



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INTRODUCTION

Pricing strategies are an important part of doing business for many companies. Pricing is an art and a science that can be difficult to navigate if you don't know what you're doing. But it's something you have to do as part of the actual selling process, whether on e-commerce stores, job sites, or directly to clients.

Since pricing is a function of value and your positioning in the market, you must understand how to properly utilize different pricing strategies to improve your business's profit margins.

This super guide is an in-depth explanation of everything that has to do with pricing tactics and strategies such as the different types of pricing strategies, differences between price & cost, tips and guidelines on how to select the best pricing strategies for your business, and some frequently asked questions that can answer some of your questions on pricing strategies and tactics.

A good grasp of how to price different products, services, and offerings can have a dramatic impact on profits, growth, sales pipeline, and customer loyalty, which is why it is so important for everyone, but most especially those with a marketing or sales bent. If you're reading this super guide, you probably consider yourself on the marketing side of the equation — if so, you've come to the right place! Let's begin...

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WHAT IS PRICING?

Pricing is the process of determining the value for which a business will exchange its products and services. The business will consider many factors when determining its prices, including the cost of acquiring the products, cost of manufacturing, product quality, market conditions, company brand, and competition. During an exchange of goods or services, pricing is a method for setting prices to suit both the manufacturer and the consumer.

Pricing is a key aspect of any business operation. The successful pricing of goods and services plays an important role in establishing the competitive edge for businesses and in maintaining the competitive viability within segments of the industry. It also contributes to building a positive image as well as creating value for consumers or customers. Prices are also important indicators of business outcomes.

STATIC VS. DYNAMIC PRICING

Static pricing has to do with a situation where prices remain the same from day to day. While this allows for easy profit margin and revenue calculation, a business making use of a static pricing strategy loses customers due to their unwillingness to pay certain prices for a commodity.

Meanwhile, in dynamic pricing, the business adjusts its prices to fit the different price points that consumers are willing to pay. This difference in prices most times is offered to customers through discounts and geographical pricing differences. The concept of dynamic pricing is further

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explained below and/or is related to some of these pricing strategies: Dynamic Pricing, Time-sensitive Pricing, and Sliding Scale Pricing.

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WHAT IS COST?

Cost is an important factor in business and economics. In business, the cost is defined as the value of a specific resource used up to produce a finished product or service. This cost includes the cost of labor, equipment, material, and infrastructure.

The meaning of cost depends on the type of company, however. For example, companies in the retail industry and those with a product listing on an e-commerce website can describe costs as expenses, including salaries for employees who work in the store or whose responsibilities include operating a website. Other expenses that may be included in cost for these types of companies include operating costs for a physical site, as well as expenses for maintaining the physical storage facilities for excess inventory.

On the other hand, manufacturing industries will describe their cost as the variable and fixed expenses incurred in running their business, this includes fixed overhead costs like rent or mortgage payments and fixed employee salaries and variable overhead costs like energy bills and the cost of raw materials.

Every business incurs some kind of cost when it provides a product or service to customers. By keeping all costs in mind when setting prices for products and services, businesses can control their expenditures and profit.

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PRICING VS. COST

The cost to manufacture a product or provide a service is the expense a business incurs to make that product or provide that service. The cost of raw materials and labor typically go into determining the price of the product or service, and the cost of those raw materials and labor can be affected by market prices.

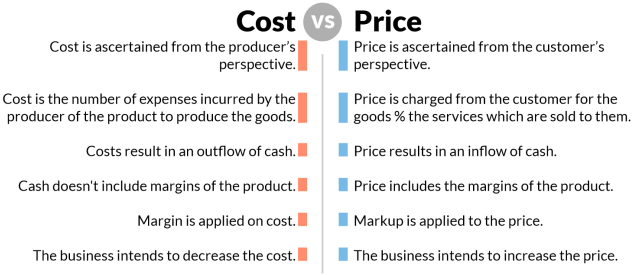
Price, on the other hand, is how much a customer pays for a product or service. The difference between what they pay and what it costs to make and sell the product or service is profit. If someone pays $120 for something that costs $100 to make and sell, the company earns $20 in profit.

Cost is also different from price in the following ways:

- Price is fixed through a policy, and cost is dependent on the actual expenses incurred in manufacturing that product;
- When prices rise or fall in the market, both the cost and price of a product are affected. While a company can't determine the costs of its products, it can reduce the impact of high costs by increasing the price of its products;
- The price of a new car is the amount you pay the dealer. The cost of the same car is what it took to make it. A new car's price will usually be higher than its cost because the price includes money for profit and overhead costs like design and assembly;
- When a customer is considering the price of a product,

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they are looking at it from their point of view. When a company is looking at its products, however, it is ascertaining the cost.



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WHAT IS THE PRICING STRATEGY?

Pricing strategies are the processes businesses use to decide how much they will charge for the products and services they offer. To determine the price of a product, businesses need to take into account many factors. These include the cost of goods, labor, advertising expenses, competitive pricing, trade margins, and overall market conditions.

These pricing strategies are dependent on a firm's industry, and they include:

- **Premium Pricing Strategy:** To some companies, high price is synonymous with quality. In these circumstances, a high price can be a good way to signal that you are the best at what you do. The strategy works particularly well in industries where there is little competition and where customers need what you have to offer. For example, Porsche makes some of the most expensive cars on the market and Gillette's razors are renowned for being the sharpest;

- **Penetration Pricing Strategy:** When a new product is launched, companies often set their prices low to secure market share quickly. Once they have succeeded in doing so, they will raise prices to make greater profits. For example, in India, mobile phone rates are kept artificially low to stimulate sales; likewise, when homebuyers take out housing loans, the interest rates are also kept artificially low for a

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certain period;

- **Economy Pricing Strategy:** This strategy is all about offering a low-cost product, with margins kept to a minimum. The emphasis is on big sales volumes, which are more likely to come from targeting the mass market than from concentrating on a small, high-quality niche. An example of this strategy in action is Tide's low-cost detergents;

- **Skimming Pricing Strategy:** In many industries, new products or services are offered at high prices to discourage competition. Once the market becomes more crowded, however, prices tend to drop.

Other pricing strategies are further listed and explained below.

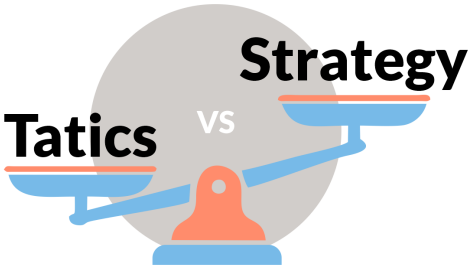
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PRICING STRATEGY VS. PRICING TACTICS

Pricing is a complex issue and there are many different levels involved. Pricing strategy takes into account long-term goals such as profitability, while tactical pricing can take into account short-term factors such as demand shifts and competitive actions. An SKU-level price adjustment and inventory management is the lowest level of price adjustment.

Too much emphasis on pricing strategy can lead to missing opportunities or losing market share to competitors who change prices aggressively. However, if your focus is on pricing tactics, you may not get the bigger picture and fail to develop long-term strategies that will bring you greater profits.

PRICING



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PRICING STRATEGY VS. PRICING POLICY

Pricing policy refers to how a company decides on the prices of its products and services. Pricing strategy, on the other hand, refers to how a company uses pricing to achieve its strategic goals. The main difference between the two is that pricing policy includes all pricing decisions (setting the price of a product or service) whereas pricing strategy specifically focuses on how different prices can be used strategically for long-term goals such as increasing sales volume through lower prices or decreasing backlog through higher prices.

Like all marketing campaigns and initiatives, pricing is not a static activity. Companies change their pricing from time to time, whether it's to reflect the changing costs involved in producing a product or making its way to market, or because of alterations in demand for a firm's products and services. Sometimes, this change results in a new pricing policy or strategy.

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WHAT TO CONSIDER WHEN SETTING YOUR PRICING STRATEGY?

- **Costs:** Gathering financial information is the first step in pricing your products. Information on your fixed costs (expenses that remain the same no matter how many sales you make) and direct costs (what it costs to make and deliver your goods or services) are included here;

- **Customer:** Keeping an eye on what your customers want from your products and services is essential for business success. If you know that price is an important factor for them, then you have to consider offering your customers the best value for the price possible. On the other hand, if they are looking for high-end products or services, then you should target them with a well-fitting product.

- When you know who your customers are, what they want, and what they are willing to pay for, it's easier to determine the price of your products or services. Through this, you may find out that changing your market could boost your business's profitability;

- **Competitors:** It's important to do a little research into your competitors' pricing and offerings. You'll learn a lot about the marketplace by seeing what price points are popular with the customers you want to attract,

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and what level of service those companies offer for their prices. By looking at their prices and the customers they attract, you'll get a good idea of how much you should charge;

- **Market Position:** After you've established your customers and competitors, you need to consider how you want to position yourself in the market. Is it your goal to be a luxury brand? Or do you want to be a price leader and offer the best value for money? Having determined your positioning, you will be able to decide your price;

- **Profit:** As a business owner, you need to determine how much profit is enough for you. Many entrepreneurs determine their price by looking at what competitors charge, rather than charging what their time is worth. You also need to make a profit even if you are in it just to give value to consumers, so think carefully about what you are willing to accept as an hourly rate, project cost, or product price. However, keep in mind what the market is willing to pay.

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DIFFERENT TYPES OF PRICING STRATEGY

Pricing strategies and tactics for a business are typically derived from the business itself and its products or services. Essentially, successful pricing is contingent on the identification of a firm's pricing position (the location in the value chain, customers, and competitors), then the establishment of appropriate price-oriented strategies, objectives, and goals that take into account firm capabilities or constraints to ensure the viability of those strategies and their profitability.

There are several different types of pricing strategies that businesses can use and they include the following:

ABSORPTION PRICING

Absorption pricing is a way of setting prices for products where all the costs associated with producing that product are factored into the selling price. These costs include variable costs per unit of your product, overhead cost, and administrative cost.

Absorption pricing for a unit of your product is calculated by dividing total overhead and administrative costs by the number of units produced and adding the result to the variable cost per unit. The formula is:

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OC = Total Overhead Cost
AC = Administrative Cost
VC = Variable Cost

VC + ((OC + AC) ÷ Units Produced)

The variable cost includes the direct labor cost and direct raw material cost, while the overhead includes the variable operating/manufacturing costs of the company. The administrative cost is all about the fixed operating/manufacturing costs of the company.



Example of Absorption Pricing

- A company produces 20,000 units of its product in one month. The company sold 16,000 units that month, leaving 4,000 remaining in inventory. Each unit requires $10 worth of direct materials and labor. Additionally, the production facility requires $40,000 worth of fixed overhead costs each month.

  Each month, the company divides its fixed overhead costs by the number of units produced. This calculation helps them determine the fixed overhead cost per unit. The company estimates that it incurs $2

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in fixed overhead costs per unit.

By adding the cost of labor and materials to the fixed overhead costs per unit, the company discovers that each unit produced has an absorption cost of $12.

The company can then determine the cost of goods sold by multiplying the absorption cost ($12 per unit) times the number of units sold (16,000 units). The calculation shows that there is a $192,000 cost for all sold units. The remaining inventory amounts to $48,000 ($12 x 4,000 units) worth of labor, raw material, variable operating costs, and fixed operating cost.

CONTRIBUTION MARGIN-BASED PRICING

The contribution margin is the money that a company generates for each product sold after deducting the variable costs. It's calculated as the selling price of the product, minus the variable costs incurred.

The term 'dollar contribution' refers to how much each product contributes overall to the profit of the company. It indicates how much money is left over after covering fixed costs, which helps in the calculation of profits and the profitability of a product.

In essence, the contribution margin is the difference between the price charged for a product and the variable costs of producing and selling it. The formula is:

Price Charged − Variable Costs = Contribution Margin

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The contribution margin can help company management decide which of several possible products to make and sell, using the same manufacturing resources. Say that a company has a latex foam manufacturing machine and a memory foam manufacturing machine, both of which are capable of producing either foam type.

If the contribution margin for latex foam is higher than that of memory foam, it will be assigned a higher priority for production, because the profit potential is greater. Because executives want to make as much money as possible, they try to produce products with the highest contribution margins and sell them at the highest possible price.

CONTRIBUITION MARGIN

$$\frac{\text{Net Sales}}{\text{(variable Costs)}}$$

$$\text{Contribuition Margin}$$

Example of Contribution Margin

Say the price of king-size latex foam is $600 per unit, and the manufacturing firm incurs a cost of $450 during production. If the fixed cost of production is $320 and the variable cost is $130. By subtracting the variable cost of $130 from the product unit price of $600, we can determine that the contribution margin of a unit of king-size latex foam is $470.

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COST-PLUS PRICING

Cost-plus pricing is a simple way to determine the price of a product. You make the product, calculate the direct material cost, direct labor cost, and overhead costs for a product, then add them together and add a percentage on top to create a profit margin.

For example, if you decide to sell your latex foams for 10% more than the cost of production, you must then make your selling price 110% of the cost of producing your product. The formula is:

Cost x Desired Percentage Profit Margin = Price
or
Cost + Desired Profit = Price

The cost-plus pricing approach will give you consistent returns if all your expenses stay the same, however, it doesn't consider market conditions like competitor pricing.

Example of Cost-Plus Pricing Strategy

- Say the cost of building a unit of luxurious bed frame is divided into:

  Raw Materials = $450
  Labour = $150
  Overhead Cost = $70

  This puts the cost of a product unit at $670, to set the selling price, Company ABC can instruct its sales department to ensure a profit margin of 30%, which will result in a selling price of $871 for a luxurious bed frame.

$670 x 0.30 = $271 or 30% of 671 = $271

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$271 + 670 = $871

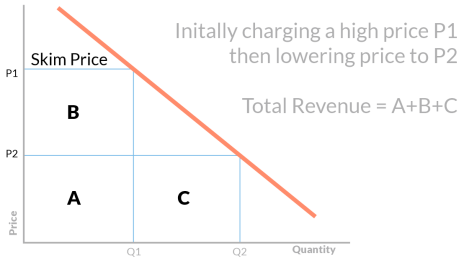
CREAMING OR SKIMMING

When a company sells a product at a high price but does not sell many products, it is called skimming. Selling more expensive products can help the company make more money than selling cheaper products would. Skimming is used to pay for the money that was spent to develop or improve the product or service. Companies often employ this strategy to target "early adopters" of their products. Early adopters are people who tend to buy new products at high prices because they need them and don't worry too much about how much they cost.

The skimming strategy is employed when a firm lowers its prices as competitors enter the market. At first, the company attracts customers who are willing to pay more for the product; then, as the company lowers its prices, it starts attracting those who are less willing to pay a high price.

It is best to use price skimming for a limited period so that the early adopter market can become saturated. If a price reduction occurs too late, buyers might turn to cheaper competitors, resulting in a loss of sales and revenue.

PRICE SKIMMING



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Example Creaming or Skimming Strategy

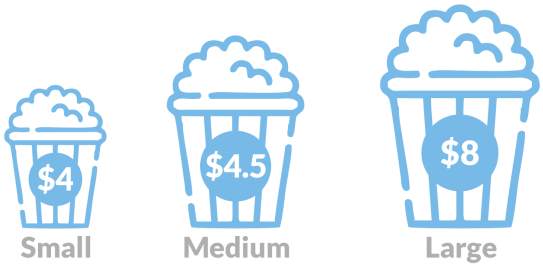
- For example, new Apple iPhones often start at a high price. But after other companies launch similar products, like the Samsung Galaxy, the iPhone's price drops so that it stays competitive;
- Another example is Sony's PlayStation 5, considered a textbook example of price skimming because it has few competitors and therefore occupies a much higher price point than its competitors. However, as more competitors begin to launch rival consoles, the price will fall as companies fight for market share.

DECOY PRICING

Decoy pricing is a strategy that uses three products, with two having similar prices. The most expensive products should be the most attractive ones — one of them should be less attractive than the other. When people see the three options, they will compare them and buy the more expensive, attractive one.

Although companies may have honest intentions when offering three options to their customer base, many brands use the decoy effect to make their products appear more desirable. This strategy is often used in fast-food chains, movie theaters, coffee shops, and smartphone companies.

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Example Decoy Pricing Strategy

- At movie theaters, movie watchers are often tempted into buying popcorn. Initially, these popcorn buckets only had two sizes, the small and the large, however, because the small ones were often priced at $5 and the large ones at $10, people would often buy the small ones, causing the sale of large popcorn buckets to decrease. Because of this, movie theaters added a third size — medium —, and priced it at $8.50, just a little under the price of the large. Customers now would buy the larger package, as it was only $1.50 more than the medium package. In this case, the decoy is the medium-sized pack that costs $8.50.

DIFFERENTIAL PRICING

Differential pricing is a strategy that involves charging certain customers less than others for the same product. The process can be tailored to fit a customer's portfolio, geographic area, demographic segment, and the intensity of competition in the region. For example, students might enjoy reduced admission fees at museums or discounted movie tickets.

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Differential pricing usually prevents the feeling of unfairness that might occur if only certain people could get a discount, to do this, a discounted price may come in the form of a temporary discount or a permanent lower price for particular groups of people.

For instance, members of a company that is partnered with a hotel may be able to take advantage of discounted rates when they book rooms.

By utilizing differential pricing, you can make your business more accessible to potential customers. The lower price might attract people who aren't willing to pay full price for a product, but that doesn't mean they won't like the experience of using it. If the customer likes what they have purchased with a discount, they might continue buying from you at full price. Discounts also allow you more control over the products in your inventory, because you can adjust prices based on demand by using discount codes or sales promotions.

WHAT IS DIFERENCIAL PRICING AND HOW TO USE IT?



Example Differential Pricing Strategy

- An example of differential pricing is the lower prices charged to certain groups, such as seniors or students.

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Those who don't meet these group criteria often appreciate discounts like this because it benefits a segment of the society that's perceived to be of lower financial standing;

- Offering discounts based on income level is another example. People who meet low-income standards can be charged fewer fees for medical services.

DOUBLE TICKETING / DUAL PRICING

Double ticketing is a common pricing tactic where the same product or service is sold for different prices in different markets. The reason for this practice varies from one business to another, but capturing market share is often the primary goal. The long-term intent is to drive out competitors by pricing them out of the market, dual pricing is however illegal in some circumstances.

However, double ticketing sometimes isn't a direct result of predatory company price adjustments. In some markets, a company must raise its prices to compensate for currency exchange rates and shipping fees. For example, if it costs more to ship goods to one part of the country than another, prices in the more expensive area must rise to cover that expense.

Example of Dual Pricing Strategy

- Airlines often charge a low price to early bookers and a higher price to late bookers. Tourist-reliant businesses in developing nations also employ this strategy; while residents will pay low prices, tourists are often charged high prices.

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FREEMIUM

In the freemium pricing strategy, a company offers basic products or services free of charge while charging consumers for premium versions or advanced features of the same offering.

The basic idea behind a freemium pricing strategy is that the company offers a limited version of its product or service for free, hoping that users will like it enough or find a need to upgrade to a paid option. While freemium plans can draw in a large user base, most of them don't upgrade to the paid version — on average, only 2-5% do. But even with those lackluster figures, a freemium pricing strategy can still be profitable and productive for a business.

Example of Freemium Pricing Strategy

- Dropbox, a popular cloud-based storage company, was one of the first to use a freemium business model. This strategy has helped it gain a loyal following among consumers and businesses alike. The company offers several plans to accommodate users' needs, these options offer 2GB of storage space, but users can pay for upgrades if they need more space.

- Another example is Trello, which offers a free version of its product that lets you create a limitless number of boards and cards. You can get additional features like automatic backups and integration with other apps if you pay for a professional account.

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HIGH-LOW/SKIMMING PRICING STRATEGY

High-low pricing is a strategy for getting people to buy your product by offering it at a lower price than usual. In other words, this strategy involves establishing a high price for products, then lowering it via sales promotions such as coupons and seasonal discounts. With high-low pricing, the price goes up and down over time.

In essence, the product is introduced at a high price, and through discounts, the product attracts more users; as demand decreases, the price is also decreased.

In some cases, the company uses high-low pricing methods to bring customers into the store, where they are tempted by the lower prices on certain items and in the end purchase higher-priced items as well.

Example of High-Low Pricing Strategy

- Some big companies in the fashion industry use this strategy to sell their products. These companies include Nike, Reebok, Adidas and Nordstrom, and Macy's. They offer high-quality products at a relatively high price (though this is often reduced at the end of each season). To sell off-season merchandise, retain customers, and acquire new customers who might pay full price for other products later on in the year, they give out big discounts at the end of each season;

- Another example is seen in the smartphone industry. Smartphone manufacturers like Apple, Samsung, and Google all tend to introduce their phones at a high price point and gradually discount them as the hype

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dies down and new models are announced.

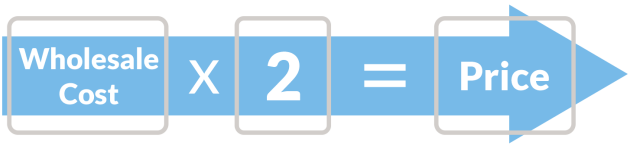
KEYSTONE PRICING

Keystone pricing is a strategy many retailers use to determine how much to charge for a product. It's basically when you take the amount you paid for an item and double it to set your retail price. Several factors could make this type of product pricing either overpriced, underpriced or the right price for a business.

The formula is simple:

Price = Wholesale Cost x 2

KEYSTONE PRICING



Example of Keystone Pricing Strategy

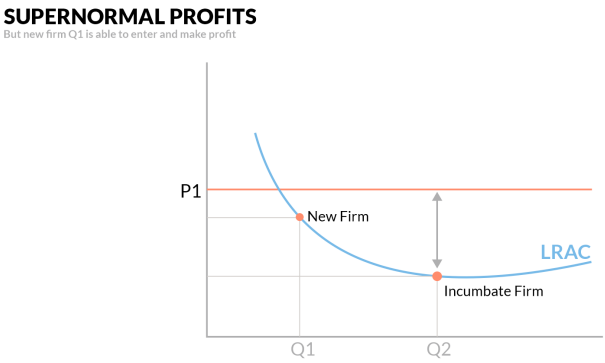
- Take the example of owning an exquisite jewelry store. You've purchased an ornate necklace from a goldsmith for $350. In this example, the traditional keystone pricing strategy indicates you can sell the necklace to your customers for double its cost. So the retail price will be $700.

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LIMIT PRICING

A limit price is a price set by a monopolist to discourage potential rivals from entering its market. The limit price is the lowest price at which an entrant would break even if it tried to enter the monopolist's market, assuming that the monopolist did not cut its output.

The quantity of the product produced is larger than would be produced under perfect competition, but it still might earn more economic profit than perfect competition.



It is common for firms to set prices in the short run by following the profit maximization equation (MR=MC). P1 would be the price as a result of this. For a new firm to enter profitably, it must produce at Q1 with a market price of P1, which is higher than its average costs.

Example of Limit Pricing Strategy

- Company X and Company Z are competing in the electricity supply market. Company X has been operating in the sector for some time, earning monopolistic profits. Company Z has collected all the

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relevant information and is planning to enter the market.

Company X sets its prices below the monopoly price, so it is discouraging for Company Z to enter the market. In addition, Company X increases its output, which means that consumers have no alternative but to buy from them. As a result, Company Z decides against entering the market because it would be difficult to make a profit there.

LOSS-LEADING PRICING

When a business first enters a market, it often uses loss-leaders to attract new customers. A loss-leader is a product sold at a price that is not profitable but is used to entice customers into the store, where they are likely to buy additional products and services. Loss-leaders are mostly used by retailers to build customer loyalty and attract new customers.

The idea behind loss-leaders is that once inside, retailers believe customers will buy items at full price, which will help make up for the losses on the sale of the loss-leader.

Example of Loss Leader Strategy

- The razor blade industry is one example. Gillette, for instance, often gives away its razors or sells them cheaply, knowing that customers will have to replace the blades, and it's those replacement blades that provide the company with its profit;
- On Black Friday, retailers often offer deep discounts on certain products, this is done to steer customers away from competitors' shops. To get customers to purchase other non-discounted items, these retailers

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often place their bargain items in hard-to-reach places;

- Supermarkets often use milk as a loss-leader, since most people need to buy milk at least occasionally. The idea is to get shoppers into the store so that these shoppers will buy other items as well. This often results in milk being put in the back of the store in a refrigerated unit.
- Microsoft's Xbox One video game console offers a good example of a loss-leader strategy. Though Microsoft sold the product at a low margin per unit, it knew that it could profit from video games with higher margins and subscriptions to Xbox Live.

LOSS LEADER PRICING EXAMPLES



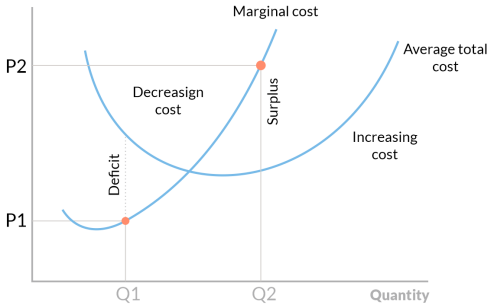
MARGINAL-COST PRICING

Pricing a product at marginal cost just means that the seller charges only for the cost of making one more item. So when a business sets its price near the cost of making one more unit, it's called "pricing at marginal cost."

Marginal costs are made up of both fixed and variable costs. They include the cost of production, which can be broken

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down into fixed and variable components. For example, if a company needs to buy new equipment to make more products, the purchase price would be considered a fixed cost, but the electricity used by that equipment would be considered a variable cost because it is dependent on how much of the product is produced. Therefore, at some point, the cost of that equipment needs to be considered in the marginal cost since it is necessary to make more products.



Example of Marginal-cost Pricing

For example, if it costs you $2.00 to make something and you usually sell it for $4.00, you might lower the price to $2.20 if there aren't many customers around.

ODD-EVEN PRICING

Odd-even pricing is a common strategy used by sellers to make their products appear less expensive or more valuable than they are.

For instance, a supermarket might sell a 16-ounce box of cereal for $4.99 instead of $5.00. Since most people pay close attention to the last digit in prices and tend not to notice digits in the middle of a price (for example, $4.99 looks

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cheaper than $5.00), odd pricing can make something seem cheaper than it really is. Conversely, an upscale retail store might price an item at $1500 instead of $1499.99 to make it seem more expensive and exclusive than it is.

Some research has suggested that even prices look more expensive than odd-ended prices, so stores usually price their products in the $19.99 range instead of $20.00.

Even though shoppers are becoming more knowledgeable, it is likely that most shoppers still focus on the first number when they're shopping and will think that a product priced at $19.99 is cheaper than one priced at $20.00.

To take advantage of this pricing strategy, retailers looking to be seen as discounters or good values may price items using the odd pricing strategy. For those who want to be seen as an upscale retailer, whole numbers are a natural choice when pricing products and services.



Odd Pricing **Even Pricing**

Example of Odd-Even Pricing

- Retail stores often employ a strategy called odd-even pricing. If the price ends in an odd number, it's perceived as a good deal. If it ends in an even number, it's not perceived as such a deal.

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The perception is influenced by the product itself — you might see signs outside the store advertising cardigans for $34.99, which is less than $35 and therefore perceived as a bargain by shoppers. A designer purse store, however, may not offer any odd pricing sales because it is a luxury item that is expensive and customers would be willing to pay full price for it;

- Another example can be seen in restaurants. Odd numbers are often used in advertising because they seem to be cheaper. Many restaurants will advertise a "three-course meal for only $19.99." They do this because they want families to eat at their restaurants. Families often have a smaller budget than single people or couples and need an affordable option. High-end restaurants would never use an odd number because they want people to think of them as luxurious, not cheap. You will never find a three-course meal for less than $40 at these kinds of places because there is a market for people who want luxury meals.

PAY WHAT YOU WANT

Pay what you want (PWYW) is a pricing model that lets buyers decide how much they want to pay for a given product. In some cases, the seller may set a minimum price or suggest an amount to pay. The buyer can choose to pay less than the standard price, or even more than it, if he or she wishes.

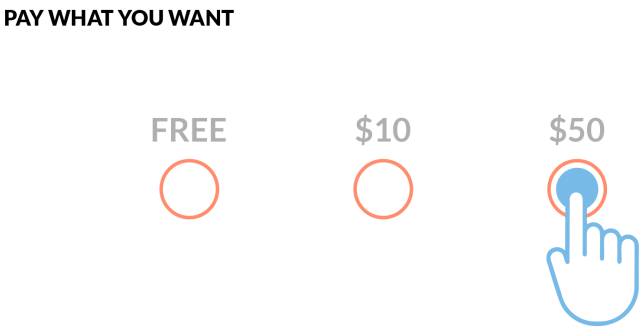
Giving buyers control over pricing may seem counterintuitive for sellers, but in some situations, it works well. Historically, PWYW has been used on occasion for special promotions and marginally in the economy, but there are efforts afoot to make it more widely available.

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People often enjoy paying what they feel a product is worth, rather than having to pay a set price. It can reduce the risk of disappointment and create trust between sellers and buyers. People are more likely to purchase an item if they know the price is flexible, meaning that the price does not have to be set in stone. This allows sellers to avoid difficult price negotiations since buyers can decide how much they want to pay for an item. For example, a coffee shop might use a PWYW model for its drink specials.

Some sellers find that pay-what-you-want pricing can help them make more money, since buyers who value the product more will usually pay more. This can also result in lower revenues for the seller if costs are high, as a result, PWYW strategies are better suited to products with low marginal costs.

Paying what you want in general is an effective way to penetrate a new market, perhaps introducing a new brand, as even consumers with a very low valuation can pay small amounts for the same product. It also helps companies discover the price customers are willing to pay for their products.



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Example of Pay What You Want Pricing

- A few Panera Bread cafés were opened as Panera Cares locations — essentially non-profit cafés where customers could order menu items according to their budget. In the end, these cafés generated 70% of the revenue of a regular Panera Bread location;
- Radiohead's 2007 online release of its album "In Rainbows" used a pay-what-you-want pricing model. The majority of listeners did not pay right away, but publicity about the album led to more than two million downloads in the first month, helping the album rank number one on the Billboard chart and the United World chart;
- Most media outlets and websites charge readers based on what they want to donate, Wikipedia is a prime example of this.

PENETRATION PRICING

During the initial launch of a new product or service, penetration pricing is used as a marketing strategy to attract customers. The strategy is to offer a lower price to help the new offering penetrate the market and compete with similar offerings from competitors.

A company using a penetration pricing strategy prices a product or service at a lower price than it usually charges with the sole aim of increasing its market share. However, this strategy can sometimes scare away competitors who wrongly assume the low price is here to stay.

This strategy is often used when there is intense competition in the market or when a business faces hardship in releasing their product in the market due to an extremely large rate of

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competition. It is a common practice among internet companies, which often fail to make a profit until they gain monopolistic power.

Example of Penetration Pricing

- Hotels and other hospitality services use penetration pricing to attract customers who may become repeat customers. A hotel company called Diamond Lodging uses this strategy to attract travelers to their hotel, taking market share from other hotels. The company offers reduced rates for one night in a master suite, leading guests to refer Diamond Lodging to others and tripling revenue.

- Landlocked Airlines reduces its airfare prices during the winter holiday season and gains a positive industry reputation. The company also attracts new customers who purchase more expensive flights in the future, because they are familiar with Landlocked's service.

PREDATORY PRICING

Predatory pricing is when a company sells its products below cost to drive out competitors. It's illegal in some countries, but it happens anyway. Predatory pricing happens during price wars as it's hard for other businesses to tell what's going on. This practice is intended to drive out competitors from a market, but the strategy can be dangerous because it can lead to complete business failure in the long run.

In a predatory pricing situation, where one retailer undercuts another to gain market share, the consumer benefits from lower prices and enhanced choice. However, if the price war is won by one dominant retailer, then consumers may lose out. In a monopolistic marketplace, companies are free to set prices as they wish and can often charge higher prices

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because there are no alternatives available.

Example of Predatory Pricing

- The local community has several retail stores that sell various items. Recently, one department store was opened by a well-known departmental chain. They set their prices lower than those of the other stores. Customers started going to the new store because they got the same products at a lower price, and eventually all of the department stores closed because they couldn't survive in this situation. When that happened, the monopolistic department store increased their prices because they had no competition in the area anymore.

PREMIUM DECOY PRICING

A tactic known as premium decoy pricing involves artificially setting one product's price high so that customers will opt for the lower-priced product. For example, an organization might increase the price of beef so that it becomes expensive in the eyes of customers. Subsequently, pork becomes cheaper. Customers will then opt for cheaper pork.

Bag manufacturers often use a similar tactic by introducing a limited-edition handbag and setting its price high; through these customers are drawn to other affordable options from the same manufacturer.

Premium decoy pricing works because people like to feel as if they’re getting a bargain, and getting a similar product at a much-reduced price makes them feel good about their purchase. It also creates interest in the brand, even if the high-priced product is too expensive. For example, launching a very expensive flagship product can help improve the

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image of the whole product line.

Example of Premium Decoy Pricing

- If a bike manufacturer were to release a much more expensive limited-edition model with top-of-the-line accessories, the standard model might seem like a bargain by comparison;
- Limited-edition handbags are big business. When a company makes a limited-edition handbag, they almost always increase the price compared to their other bags. The Chanel Imitation Pearl Flap bag, for example, costs about $12,500. It's out of most people's price range, but Chanel creates the illusion that their products are very valuable by making these kinds of luxury items. Because of this sense of luxury, customers will flock to other affordable Chanel bags.

PREMIUM PRICING

Premium pricing is a strategy companies use to keep their products and services high-end. In other words, you're more likely to pay more for a product that has a reputation for being exceptional.

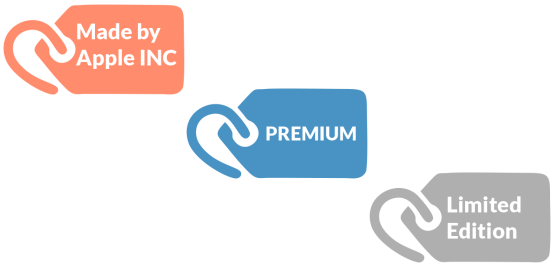
It is the practice of charging a higher price for a product or service than is customary or reasonable, to make buyers believe that the product or service is of exceptional quality. The practice may exploit buyers' tendency to associate high prices with quality.

For example, when you think of designer clothes, you imagine them being high-quality and worth the price. The prices are higher because the brand name adds to its value. Although people think that it's ridiculous for paying more for something just because of a brand name, consumers often

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buy things based on the price, believing that they will be of high quality.

PREMIUM PRICING



Example of Premium Pricing

- Rolex's watches have a premium price tag. If you just want a watch to tell time, you can buy one for much less than $10,000. The Rolex brand, however, is willing to charge that much because customers perceive the product as high quality and a status symbol;
- There are two ways to get from Point A to Point B — a Honda, costing around $25,000, or a Bentley, costing around $250,000. The owner of a Honda will be able to travel easily and cheaply, and might be proud to arrive in an inexpensive car. On the other hand, customers who want to make a statement with their vehicle purchase are likely to choose the Bentley.

PRICE DISCRIMINATION

Price discrimination is a sales strategy that charges different customers different prices for the same product or service. The seller bases the different prices on what he or she thinks

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each customer will pay. A pure form of this strategy would be charging each customer the highest price he or she would agree to pay, but most sellers use more common forms of price discrimination, such as classifying customers by certain characteristics and charging each group differently.

There are three degrees of price discrimination, such as:

- **First-degree Price Discrimination:** The business charges every consumer the maximum amount each consumer is willing to pay for the product. To determine what price to charge, the monopoly firm assumes that the consumer will buy any quantity of the product, up to the point where the total consumer surplus equals (meets) the demand price for the product;

- **Second-degree Price Discrimination:** The business uses volume discounts, which lower the unit price for buyers who purchase a large amount of product. The result is that buyers with larger inventories pay less per item than those with smaller inventories.

  This approach benefits buyers who require a large inventory and hurts those who do not. The latter may then be less competitive in the downstream market. For instance, telecommunications companies charge customers different prices for Internet access time based on usage. Large users pay less than small users so that the company can make more money from them;

- **Third-degree Price Discrimination:** When firms divide markets into segments with different price elasticities of demand, they charge different prices for the same commodity in different markets. Power plants, for example, may charge industrial customers less for electricity than they charge residential consumers.

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Example of Price Discrimination

- Imagine a supermarket has two customers, Mr. Jones, and Miss Ryan. Mrs. Ryan has a much tighter budget of $80 per week compared to Mr. Jones at $100 a week. Since it is too expensive for Miss Ryan to buy $100 worth of food every week, if the store maintains its $100 price, she will go elsewhere.

  When the price stays the same at $100, the supermarket knows Miss Ryan will shop elsewhere. They will therefore make only $100 profit. Therefore, they could lower their price to $80, which would provide a win-win scenario for both parties. In total, the store could earn $100 from this deal. However, by giving Miss Ryan a coupon for $20 off her purchase, it could earn even more. This voucher will still earn the store $100 from Mr. Jones, but it will also earn $80 from Miss Ryan, making a total of $180 from these two sources.

PRICE LEADERSHIP

Price leadership is when one company sets the price for an entire market. It can occur in a variety of situations, including oligopolies (markets with few sellers) and monopolies (markets controlled by one seller). Price leadership is most effective when there's little to no competition so that the leader has more pricing power than its competitors.

There are three types of price leadership, including:

1. **Barometric:**
   When smaller companies can anticipate trends in their industry and then act on them swiftly, they may be able to get a head start on their competitors. This is because they get to change their prices before most

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of their competition does. It's hard for small companies to consistently do this, but whenever they receive information before other companies do, they have a chance to become price leaders in their industry.

2. **Dominant:**
   When a company is the biggest (i.e., has the most market share) in its industry, it can charge lower prices than the smaller competitors. This is because larger firms can afford to make less money on each sale and still remain profitable. This ability allows price leaders to undercut their smaller rivals and force them out of the market.

3. **Collusive:**
   In some industries, no one firm is the dominant player and thus has a significant advantage over other firms. However, if enough firms in an industry get together to set prices, they'll combine to become a force that can set prices and reap the rewards of being a price leader.

Example of Price Leadership

- Reliance JIO is a great example of a price leader. When they started in India, they offered free calls and internet to their customers. This made it possible for people to call anywhere in the country without worrying about rates or limitations. This was a game-changer at the time. In response to the growing use of JIO's services, other telecom companies had to adjust their strategies to keep pace with Reliance.

  In response to its growing customer base, JIO altered its pricing-not completely, but enough to make its prices more competitive than before while still offering great value. In response, other networks had to change their pricing plans to match JIOs or risk losing

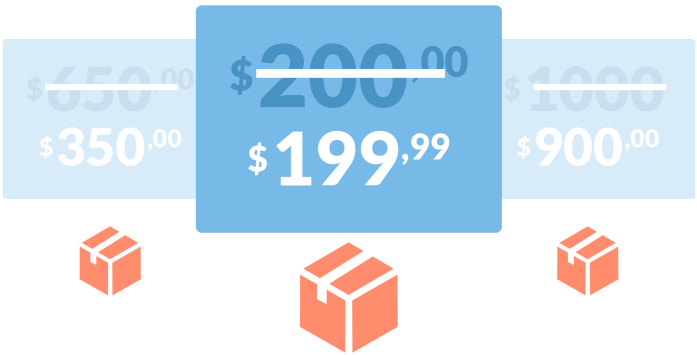
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customers to JIOs.

PSYCHOLOGICAL PRICING

Companies often use psychological pricing strategies to sell their products. It is common for companies to price their products at $9.95 or $9.99 instead of $10.00, this is called charm pricing or odd pricing. Most consumers consider $99 to be less than $100. Even a small price difference like this can make a big difference in sales. Increasing sales and maximizing revenue can be achieved by finding appropriate psychological prices for products.

Psychological pricing is a marketing strategy that takes advantage of consumers' ignorance of the value of products. Consumers are therefore more likely to purchase products when they're listed at prices lower than what they would normally expect or when similar products in their category are priced higher.



Here are three other psychological pricing strategies:

- **Artificial Time Constraints:**
  Businesses try to create a sense of urgency by using time constraints. They might run a sale that ends in a

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few hours or a special event that's only available for a day. In reality, the sale will reset soon and continue for a few more hours, rinsing and repeating the cycle. This strategy makes customers believe that they need to make their purchase right away so that it doesn't sell out.

Stores put these time-limited sales on their products because they know that people will buy when they think they might miss out on a good deal. If people believe the sale is only temporary, they're more likely to buy now rather than wait a week or longer. People don't want to feel like they missed out on something, so they make the purchase to avoid feeling regret.

This type of artificial demand can be great for increasing your sales. However, you need to be careful not to offer too many discounts over time; otherwise, it could ruin your brand value;

- **Innumeracy:**
  In innumeracy strategies, you choose a math option that's more appealing to a customer. When comparing two similar offers, customers often choose the option that sounds better, even if the math is the same. For example, a customer might buy two boxes of penne pasta for 50% off. Or you could get one box for free if you buy another. The latter option actually sells better because customers feel like they're getting a better deal;

- **Price Appearance:**
  When you're creating a price for your product or service, it's important to be aware of how the way it appears can influence your customers. For instance, although $12.00 and $12 feel like the same amount of money, studies have shown that people will tend to feel like they're spending less money when the

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number isn't as long. Similarly, removing the dollar sign can help customers feel better when paying for a product or service.

Example of Psychological Pricing

- If a paperback book costs $9.99, customers may see it as costing less than $10. Though the price difference is only one cent, customers will view it as a bargain;
- People often use the first price they see when judging how much something is worth. So if a person sees one store selling a toaster for $23, they'll take that as their reference point for how much all other toasters should cost. Seeing another store selling theirs at $22.99 would make them view the price as a bargain.

PERFORMANCE-BASED PRICING

Product or service sellers who use performance-based pricing are often paid based on the effectiveness of their offerings. Online advertising platforms, real estate agents, and personal injury lawyers all use this pricing strategy.

Performance-based pricing gives sellers an advantage in attracting customers because it reduces buyers' upfront risk, and increases the seller's risk — but also their potential rewards. Sellers and buyers who use performance-based pricing have to be sure they've clearly defined and quantified the outcome they want with each customer before they start working together.

In advertising, more agencies are moving to performance-based pricing. This means the agency is paid for achieving certain client goals, such as advertising and marketing goals.

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For completing the reconstruction early, the contractor who rebuilt the 1995 earthquake-damaged Los Angeles freeway was rewarded for its performance. This trend is also evident in industries like consulting, trucking, and heavy industrial services.

THE GROWTH OF INSURTECH



Example of Performance-based Pricing

- Coca-Cola's new compensation plan for its creative agencies is explained in a post on 4A's Business Development Blog. In short, Coca-Cola establishes a base fee for a project and gives the agency a 23% margin or a 30% markup on that base fee. Any money over that base fee goes directly to the agency.

  The base fee is determined by looking at how much money brands similar to Coca-Cola are spending on advertising and how much money Coca-Cola thinks it should be spending on advertising based on how important its brands are and how much money they make.

  Once that figure is determined, it is adjusted for things like how much Coke values the talent of the agency staff members working on the project, what kind of

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business climate there is in the industry right now, etc., according to the post. Then there are three processes by which Coca-Cola evaluates whether an agency has done its job well or not: It looks at agency evaluation score (40-50%), specialist metrics (40-50%), and Marcom metrics (10%), and business performance metrics (10%).

SLIDING SCALE

Sliding scale pricing is an approach to pricing a service or product that can help make it more affordable for everyone. The prices are based on an individual's income and ability to pay. People choose how much they want to pay for a product or service, knowing that others who have more financial resources will cover their expenses.

The sliding scale model is a way to calculate fees based on income. It's a type of progressive tax system that charges more for a good or service as an individual's income goes up. For example, a person with a higher income pays more for an item than someone with a lower income. This helps lower-income people get the same services that wealthier people do.

Example of Sliding Scale

- The XYZ Hospital has a specialty health clinic that treats as many patients as possible. There are no insurance plans accepted by the hospital's specialty doctors, so clients must pay out of pocket. The average cost of a patient visit is $400. The hospital has implemented a sliding scale fee structure based on income levels to make treatment more affordable. Ranging from $100 to $600, clients who earn less money pay less and those who earn more money pay

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more.

TARGET PRICING BUSINESS

Target pricing is a method businesses use when setting their selling prices. First, the firm determines how competitive it wants its price to be based on market research and what similar products are selling for.

Once the business figures out its product's price, it then sets its desired profit margin; that is, how much profit the business wants to make from each product sold. Once a business has decided on this profit margin, it must figure out if producing or procuring the product will cost them more than expected. If so, then the company will cancel its plans of making that product.

By taking this approach, a firm can ensure it will earn a reasonable profit because it can sell its products at a price that is consistent with market demand.

Target pricing allows a company to earn a specific rate of return on its investment in a product, given a certain volume of sales. It is most often used by public utilities and companies like gas and electricity companies with large investments in their offerings. When a company's capital investment is low, target pricing is not useful since, in this case, the selling price will be underestimated.

The formula for target pricing is:

Target Selling Price Based on Research + Profit Margin Expected = Target Cost

Furthermore, target pricing is not tied to demand, so if a company fails to sell all of its units, it may suffer a loss.

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Example of Target Pricing

- An example is a cell phone company trying to sell its phones for $700 each, but it also wants to earn $150 per phone in profit. Making each phone should cost about $550, so the company will be profitable.

DYNAMIC PRICING

In dynamic pricing, merchants can change their prices depending on how much their customers are willing to spend. Using it, Internet-based companies can learn about customers' past purchases, their location, and their lifestyles. Airline companies use dynamic pricing frequently since it allows them to charge different amounts for identical seats on flights.

It is a strategy in which the prices of your products or services change over time. The change can be daily, weekly, monthly, or even hourly. Dynamic pricing can be useful for companies that deal with inventory-based products since it allows you to reduce prices if your stock is low, or raise prices if demand for your product increases.

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DYNAMIC PRICING



Types of Dynamic Pricing

1. **Segmented Pricing:**
   Customers are segmented into groups and given different prices at different times. For example, you can offer higher prices to high-income customers who might prefer to pay more for service speed and quality;

2. **Peak Pricing:**
   Several industries benefit from this strategy, especially those that experience a significant surge in demand at certain times of the day. It is similar to time-based pricing, but you can think of it as a derivative of this strategy. To improve the dynamic pricing process, most companies using these pricing strategies also use price optimization tools;

3. **Changing Market Conditions:**
   A variety of factors may cause the market to change, so businesses must be prepared to adapt. If sales decrease, a company may need to reduce prices;

4. **Time-based Pricing:**
   By using this method of pricing, companies can charge more for faster services. There will be an extra charge, for example, if you want same-day service or if you

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reach the company almost after hours;

5. **Penetration Pricing:**
   This is a strategy that companies use to introduce their products to a large portion of the market. Businesses use penetration pricing when they want to reach as many consumers as possible by charging less than what other companies are charging, but after gaining market share, they slowly increase their prices.

Example of Dynamic Pricing

- Online Ads: When a keyword's demand is high, so is its cost. If you want to target the keyword "gift ideas" around the Christmas season, for example, you might have to pay more than usual;
- Hotel Industry: Prices fluctuate depending on the season and holidays, special days, or other events;
- Airlines: Most people can reserve flights five months in advance, but business travelers often need to plan at the last minute. As a result, airlines may change their ticket prices in minutes with time-based pricing strategies.

TIME-SENSITIVE PRICING

Time-sensitive pricing is a way to sell goods that have a short shelf life. Businesses like supermarkets often consider the dates on which their products will expire, and the amount of money they want to make from each item. That is to say, if the expiration date is soon, they need to be willing to sell it for less money than if they had more time to sell it. This method increases sales and decreases losses/wastage.

By lowering the price of food items, customers are more likely

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to purchase goods that are close to expiry. This will affect the store's profit margins, but at least they get rid of some of their inventory.



Example of Time-sensitive

- It is fairly common for supermarkets to mark down products that are close to their use-by date, and for customers to take advantage of these bargains. Sometimes, though, the bargains may not be as great as they seem. If a customer sees a yellow label on meat, then they might buy more than they might otherwise have bought had there been no label;
- Online retailers often create a sense of urgency by introducing a limited-time offer that encourages customers to complete their purchase before the promotion is over.

VALUE-BASED PRICING

Value-based pricing is a strategy that charges customers based on the value of a product rather than its cost of production. It is frequently used when the perceived value of a product far exceeds its cost of production.

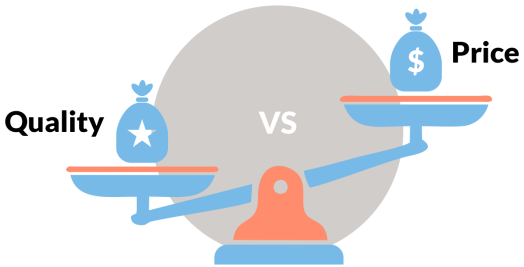
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For example, the cost to produce a software CD is about the same regardless of what programs are on it, but prices vary greatly depending on how much value customers think they will gain from each one. To employ value-based pricing successfully, you must know your customers' needs, determine your products' perceived value, and understand your business costs.

Essentially, with value-based pricing, you set a price for your products or services based on what your customers believe they are worth. Unlike cost-plus pricing, which bases its calculations on the cost of materials and labor, value-based pricing takes into account your customers' desires and needs.

If a company's product is unique or significantly better than the competition, value-based pricing can work well for them.

VALUE-BASED PRICING STRATEGY



Example of Value-based Pricing

- Clothing prices in the fashion industry are heavily influenced by the perceived value of a designer's brand. The value of a brand can suddenly increase if a prominent designer can convince a well-known celebrity to wear his or her look to a big event. But when the brand's image deteriorates for any reason, it

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is forced to revert to a cost-based pricing model;

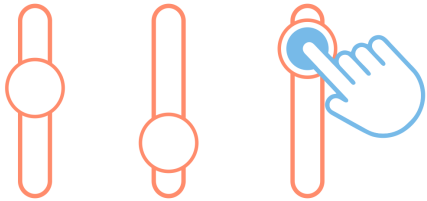
- For another example, imagine a coffee shop, Company Z, which charges twice as much for a cup of coffee as its competitors. People are willing to pay more for coffee from Company Z, even though the prices are double what similar products cost elsewhere. The location assures customers that they are getting the best coffee available and that they will receive excellent customer service. This means customers are willing to pay more because of the perceived value Company Z has to offer.

VARIABLE PRICING

Variable pricing can be defined as the pricing strategy of a business to optimize its profits by offering different prices for the same product at different times or in different places. Variable pricing is a marketing strategy that allows retailers to charge different prices for their goods depending on demand or location. Sometimes, variable pricing causes different stores to sell the same product at different prices — sometimes higher, sometimes lower.

Variable pricing allows businesses to have a balance "between sales volume and income per unit sold". Variable pricing assures businesses of profitability while covering their costs.

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Example of Variable Pricing

- Like other e-commerce businesses, Amazon is constantly experimenting with its prices to determine its optimal profit margin. Amazon does this by showing different prices for the same product on different website advertisements, and even varying those prices for different customers;

- eBay, as another example of the implementation of variable pricing, uses an auction method to sell products that are in high demand. With this technique, the company can maximize its profits while customers get satisfaction from the thrill of competing for a product. Both eBay and its customers benefit from this method of variable pricing.

YIELD MANAGEMENT

Yield management is a strategy used by airlines, hotels, and car rentals, among many other businesses that deal in limited goods or services. It aims to monitor consumer behavior to gain maximum profit through selling goods or services that are perishable. Yield management is about finding a balance

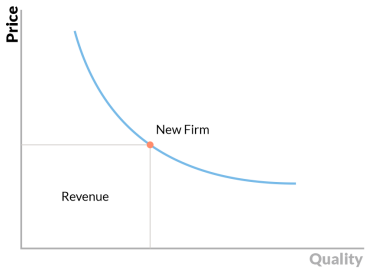
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between supply and demand that makes you the most money.

The theory behind this strategy is to pay attention to the following aspects: buying behavior patterns of consumers (for example, if people buy more airline tickets in the daytime but not at night), external environmental factors (such as how busy a particular day is for travel and its weather forecast; the more people who are traveling on a given day, the more expensive tickets are likely to be), and market price (how much a ticket costs at any given time).

For example, someone might buy an airline ticket during the day for $500 and at night they might buy the same ticket for $750. This occurs because, during the day, when many seats aren't booked, airline companies lower their prices to attract customers.

However, during peak travel times like rush hours, airlines can raise prices for customers desperate to get one of those few remaining empty seats. Airlines can reach out to potential customers and increase their profits by utilizing this type of strategy.



Yield management finds the optimal balance of supply and demand, where the price perfectly matches the demand.

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Example of Yield Management

- You can increase hotel profits by adjusting room prices according to seasonal demand. For example, on the weekend before a concert or sporting event, the hotel might raise its room prices a little higher than normal rates. On the other hand, if a business convention is held in town during the week before a concert or sporting event, the hotel might skyrocket room prices because many of its customers will be business travelers who are less sensitive to price increases than leisure travelers.

- To help bring in more customers, a restaurant might offer special promotions or discounts on slow nights.

ECONOMY PRICING

Economic pricing is a pricing strategy used to sell products that have low production costs. It considers the cost of making and transporting a product, which results in a low price compared to other products with high production costs. Additionally, in the economy pricing strategy, removing marketing and advertising costs from the price is useful for products that do not need heavy marketing or advertising.

The formula for economy pricing is:

Product Cost + Profit Margin = Price

Example of Economy Pricing

- Airlines often offer economy pricing to fill seats on their planes. First seats are sold at much lower prices, and prices increase as seats fill up.

- When you get a headache, your main goal is to make it

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go away. You might seek out the nearest headache reliever or visit the pharmacy for a brand-name medication. CVS Health is a pharmacy that relies on economy pricing for most of its products. For the same products, their prices can be lower than brands such as Tylenol and Advil. Generally, a 24-ct of Tylenol Extra Strength costs $6.59; however, CVS allows its customers to buy its own CVS Extra Strength Acetaminophen for $5.59.

BUNDLE PRICING

Bundle pricing is a business strategy in which multiple items are sold together for one price, as opposed to offering each item for a separate price. This way, businesses can show customers that they're getting a better deal by purchasing multiple items at once. For example, if you go to the grocery store and buy five cans of soup bundled into one, you'll pay less than if you bought those same five cans individually.

Package pricing allows companies to capture more consumer surplus by offering discounts when customers purchase more than one product. Consumer surplus refers to the difference between the price a consumer will pay and the price a business will charge for a product. In this way, consumer surplus can be captured while still offering customers a discount.

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Types of Bundle Pricing

- Pure bundling: This involves businesses selling specific items or services exclusively together. When a customer is interested in one of the products or services in the bundle, it may motivate them to buy the entire package, increasing business profits;
- Mixed Bundling: Mixed bundling is the practice of offering a bundle of items at a reduced price compared to what customers would pay if they bought each item individually. Mixed bundling incentivizes customers to purchase the bundle while also providing them with the option to purchase individual items at full price.

Example of Bundle Pricing

- A camera and an assortment of accessories;
- Burgers served with fries, soft drinks, and fried chicken;
- A set of related programs and features.

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COMPETITIVE PRICING

Competitive pricing is the process of identifying an optimal price for a product or service based on its value in relation to the competition. This strategy often works best when there are many substitutes for a given product or service, since competitive pricing can require a business to undercut its competitors' prices.

Competitive pricing is generally implemented only after a product or service has achieved equilibrium in the market — i.e. after it has been on the market for some time and there are few alternatives available to consumers.

Competitive pricing can be an effective strategy because it differentiates your company from its competitors. If, for instance, you provide superior customer service, a liberal return policy, or an incentive program that will attract customers, competitive pricing can be a good solution. Consumers are also attracted to competitive pricing when they are concerned with price.



Example of Competitive Pricing

- Brand A dominates the bar soap market, but Brand B

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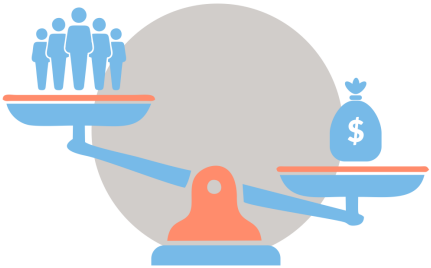
is trying to get a piece of that pie. Brand B studies the market price and finds that Brand A's bar soap is sold at $5 per bar. To gain a psychological advantage over Brand A, Brand B launched its product at $4.99;

- The top-selling smartphones in the market are Product AC and BD, which sell for $650 and $800 respectively. A new brand, Product EG, has decided to enter the market with a smartphone that has top-quality features but costs only $950. This price is higher than its closest competitor, but it offers more features than other phones in its category.

PROMOTIONAL PRICING

Promotional pricing is a sales strategy used by brands to attract customers by reducing the price of a product or service for a short time. It is effective in the short run, helping to attract cost-conscious shoppers. A promotional pricing strategy can increase revenue and build customer loyalty, as well as improve short-term cash flow. And it works best when combined with other strategies, like coupons or discounts.

PROMOTIONAL PRICING



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Example of Promotional Pricing

- Brands sometimes offer flash sales to boost sales. Personalized promotions promoted by Globe Travel made flash sales 20% more successful for military personnel. Customized marketing strategies saved the company 75% of the time and resources used for coupon distribution; they also reduced coupon abuse by 35%;

- Percentage discounts tend to be the most popular pricing strategy among consumers. The reason for this is that people perceive a percentage discount as a bigger value than when you deduct a flat amount. For example, 20% off always seems better than $15 off, even though mathematically the flat amount can most times be greater than the percentage discount.

GEOGRAPHICAL PRICING

Some companies charge different prices for the same item based on where the buyer lives. The price difference may be due to the cost of shipping. For example, if a company ships one item to two different states and the cost of shipping is different in those two states, they may charge one state's residents a higher price than residents of the other state.

Nevertheless, it can also be dictated by how people in different places are willing to spend their money. Companies will attempt to make as much money as possible in the markets they serve, and geographical pricing can help them achieve this.

Types of Geographical Pricing

1. **Zone Pricing:** Zone pricing is often used by companies to set geographically-dependent prices for their

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products. With zone pricing, customers who are farther away from the company's headquarters generally pay higher prices;

2. **FOB Origin Pricing:** To make a buyer pay for variable costs of shipping on top of an item's original price, a "Free on Board" origin strategy can be used. With this approach, ownership of the products is transferred to the buyer as soon as they leave their original production facility. Transport can be arranged by either the buyer or the seller;

3. **Freight-Absorption Pricing:** Freight absorption refers to a shipping plan in which the seller pays for a specific region's shipping costs. It is commonly used as a means of offering promotional discounts.

Example of Geographical Pricing

- As an example, take a business that manufactures toy cars in Boston and then sells them in San Francisco. If the purchase is made using FOB geographical pricing, the owner of the storefront — the buyer — assumes responsibility for shipping and handling costs;

- Zone pricing is a standard practice in the gasoline industry. Gas stations that are located in high-traffic areas or areas with high household incomes may be charged more for their gas than others that are lower on the traffic and income scale;

- Suppose that the manufacturer of the toy car from the previous example is trying to expand into the San Francisco Bay Area. Considering these factors, they could potentially undercut their competitors by absorbing freight costs and taking responsibility for the shipments while in transit. This could be considered by the toy car manufacturer as a discount

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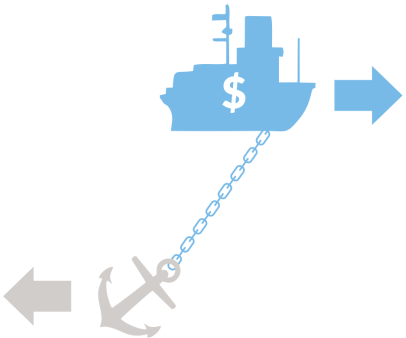
for their buyer.

ANCHOR PRICING

Retailers use anchor pricing to lure customers into a purchase. They list both the discounted price and the original price to create a favorable comparison in the mind of customers. A cognitive bias known as anchoring occurs when the reference price is used in this manner.

Anchoring bias occurs when people make decisions based primarily on information they already have or first discover.

PRICE ANCHORING



Example of Anchor Pricing

- Assume you're running an apparel site for an e-commerce firm. A new shirt you've designed is gaining popularity among some customers, but you believe you should adjust the price to sell more shirts. With no additional perks included in the price, your prospects might just perceive your product to be a plain old shirt that costs $14.99.

  In the case of an item priced at $14.99 by itself, you do

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not allow your customers any reason to want to buy it, let alone fall in love with it, since the item does not have any added benefits or features. If you really want things to get interesting, you could implement a pricing strategy where you display a starting price of $19.99 on your website, then cross it off before displaying $14.99 as the final price.

By purchasing it for $14.99 instead of $19.99, consumers think they're getting a great deal since they perceive they're saving money.

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FACTORS AFFECTING PRICING STRATEGIES

- **Price-quality relationship:** Customers associate higher prices with higher quality. This is true in cases where quality cannot be easily measured or evaluated, such as with drinks and perfumes. Customers assume that if a product costs more, then it must be of higher quality, unless they can provide objective evidence to the contrary. If it's cheap, they might assume that it's poor quality;

- **Negotiating margins:** Retailers who order from a company often ask for discounts, and the company may give them. A few types of discounts include volume discounts, competitive discounts, and fast payment discounts. The company should build in some extra money to cover these discounts so that they will make money. If they don't do this, they may not be able to afford to stay in business;

- **Product line pricing:** When a low-price competitor comes into the picture, it's always tempting to reduce your prices. But that's not always the best strategy. Sometimes it makes more sense to come up with a new brand that directly competes with your competitors' low price brand. And this new brand can be designed to appeal to people who are looking for low prices.

  It's important to remember that when you introduce a low price brand, you run the risk of tarnishing your

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existing brand's image by making it seem overpriced and not worth paying extra for. So if you do decide to go this route, make sure everyone understands that your original brand is available at a higher price and should be considered by those looking for top quality.

The key is to have several brands in the same product category that target customers at different price points and offer them different things so that you can always offer something that fits each customer's needs — whether he wants value for money or high quality without having to pay extra for it;

- **Explicability:** When your prices are higher than those of the competition, you need to prove that they're worth it. Superior finish, fine aesthetics, or superior packaging can communicate to customers that your product is special. If you're selling an industrial product instead of a consumer good and customers care about price, make sure they understand how much time and effort went into making your product — or else they may reject it as too expensive;

- **Earning very high profits:** It is often wise to earn a reasonable profit, even if current circumstances allow the company to charge high prices. If you are the first company in a market and can charge high prices, you attract competitors who want to make profits by charging lower prices. By charging lower prices, you can keep out other competitors while earning higher profits in the long run;

- **Political factors:** If something is overpriced, people may try to get the price lowered by complaining. If a company has a monopoly, it might make a lot of money in the short run, but then there might be an official investigation into its prices. That could cause

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customers to switch to something else;

- **Setting low prices:** The problem with very low prices is that it's difficult for companies to offer cheaper prices than their rivals. Customers often assume that it's impossible to provide quality at lower prices. In this case, the company may not be able to sell the product because customers think it is of low quality.

  For the company to acquire customers, it must stay in business for a long time. Eventually, customers discover that you can provide good quality at lower prices as they learn about the product's quality. When that happens, your competitors may have to change their prices or forgo their products altogether;

- **Competition:** A company should take into account the reactions of its competitors to its pricing policies and moves. The company reduces its price to gain market share, but one or more competitors can decide to match the cut. This prevents the ambitions of the company to gain market share.

  However, not all competitors are the same, and their reactions to a company's price changes will differ. To understand how competitors will react when pricing changes are made, the company must identify which competitors are the most similar and react similarly. Technically, the first level of competition offers similar products; businesses that define their business similarly and offer similar benefits to their customers face direct competition.

  When companies in a similar market compete with each other, they are likely to reduce their prices.

  The second level of competition comes from products serving the same need similarly. If one company

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reduces its prices for a product that is similar to another company's product, this other company will probably react by also reducing its prices.

The third level of competition is from products that serve the problem in a dissimilar way. If one company lowers its prices for a new product, competitors who make existing products may not react by lowering their own prices; however, eventually, they'll probably realize that their sales are going down because customers prefer the new product and will lower their prices as well;

- **Effect on distributors and retailers:** When products are sold through retailers, their list price is often higher than the price at which manufacturers sell them to retailers. Retailers sometimes need a higher list price so that they can make more money. Some retailers can afford to sell at lower prices and make a lower profit per sale. By selling in volume, these low-cost operations compensate for the smaller profits. By selling at a lower price than the list price, they pass back some margin to customers.

INTERNAL AND EXTERNAL FACTORS AFFECTING PRICING STRATEGIES

Internal Factors

- **Organizational Factors:** Pricing decisions are made at two levels within an organization. Top executives determine the general price ranges for a product, based on market segments. They rely on lower-level employees — who usually include production and marketing specialists — to choose the actual prices for

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individual products in accordance with these broad strategies;

- **Marketing Mix:** Marketers see price as only one piece of the marketing mix. Changing one element will affect the other three — production, promotion, and distribution. In addition to prices, there are other ways to get attention for your brand or product. At times, you have to raise prices to attract more customers, and sometimes you have to lower prices to attract new customers. Whatever you do with prices, a good marketing strategy must support it;

- **Price Differentiation:** Differentiating characteristics often affect a product's price. Certain features may be added to a product to increase its desirable attributes - including quality, size, and color. Products with new styles or attractive packaging are more likely to be purchased by customers;

- **Cost of the Product:** The price of a product depends on its cost of production and what the public is willing to pay for it. When a company decides to market a product, it must determine whether the price is realistic, given current demand and competition in the market. If too many products are being sold for less than it costs to produce them, the company risks losing money by selling unprofitable products;

- **Objectives of the Firm:** A company can choose various strategies to achieve its goals. Price is one of the factors that contribute to a company's goals. A firm may pursue a variety of objectives, such as increasing its sales revenue, increasing its share of the market, increasing its volume of customers, maintaining an image, or maintaining stable prices. Only after considering all these factors should a company establish its pricing policy.

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External Factors

- **Demand:** A product or service's demand has a significant impact on its price. Demand is determined by taking into account the number of prospective buyers, their ability to pay, and their preferences.

  By conducting several test markets in which different prices are tried and compared with the results of a controlled market in which prices are not changed, a firm can determine how much to charge for its product. In cases where demand is elastic (that is, demand fluctuates according to price), high prices may not be necessary. Alternatively, if demand is inelastic (that is, buyers won't change their behavior regardless of price), high prices are justified;

- **Competition:** When faced with competitive conditions, you can choose to price your goods or services competitively by either pricing them lower than the competition or at a comparable level. Likewise, you can fix your prices equal to those of your competitors if you feel that doing so will help boost sales. However, be aware that if you set a price lower or equal to that of a competitor and offer a lower quality product than the competition, people may buy from the competitor instead;

- **Suppliers:** When the price of cotton goes up, it affects the cost of manufacturing a shirt. The price of a shirt is determined by how much it takes to make and sell the shirt, as well as how much profit the manufacturer makes. Sometimes, when there are a lot of cotton available, manufacturers don't have to pay as much for their supplies. But if they are making a lot of profit, then suppliers might charge them more money. This may increase the cost of a shirt or other finished

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product;

- **Economic Conditions:** When the economy is booming, prices tend to rise. This can be explained by the increasing cost of production and distribution. Without a price increase, companies would not be able to cover their costs and remain in business. When the economy is in recession, prices tend to fall to stimulate demand.

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THE IMPORTANCE OF NAILING YOUR PRICING STRATEGY

If you nail your market strategy, you will reap the rewards of better sales and marketing results. If your target market is not the right one for your business, then you may see improved results if you redirect your energy to a different market segment.

It's important to have a good understanding of your market, so you can attract the right customers and close more sales. In addition to helping you establish a position of trust with your customers, a good pricing strategy will help you reach your business goals. Essentially, a good pricing strategy targets the right audience and communicates the value of your product to your customers, thus convincing them to buy it. In addition, it gives them confidence in your product by matching the price with its quality.



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WHICH PRICING STRATEGY IS RIGHT FOR YOU?

Research is necessary to determine which of these pricing strategies will help you achieve your pricing goals. First, examine whether aligning price with value has any effect on consumers. Some people feel that if they can't afford an overpriced product, they won't buy it — but others might be drawn to the high price tag and decide to purchase something they wouldn't normally buy at that cost.

Research has shown that consumers are willing to pay more for products that offer them more value. To determine the right price for your product, you need to make sure it has enough value to justify the price tag. It is important to remember that a product's value is not only in its cost, what consumers perceive as value is also part of what defines a product's price.

When deciding on which pricing strategy to adopt, you should also consider your profitability goals, since your business has to be profitable for you to stay in business in the long run. Calculating your gross profit can be helpful, as you'll be able to determine how much room you have to raise prices or offer discounts when necessary.

As no one pricing strategy will always work for every company and the market and competition are always

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changing, you should always be prepared to change your pricing strategy. When the market becomes saturated with similar products, a strategy that worked well previously may become less effective later on. Nevertheless, a well-planned pricing strategy can help your business succeed over time.

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PRICE ELASTICITY OF DEMAND

Price elasticity of demand is the measure of how much a product's quantity demanded changes in response to a change in its price. In other words, it represents the ratio of the percentage change in quantity demanded to the percentage change in price. High sensitivity in demand means that when the price goes up, people will buy less; or when it goes down, people will buy more

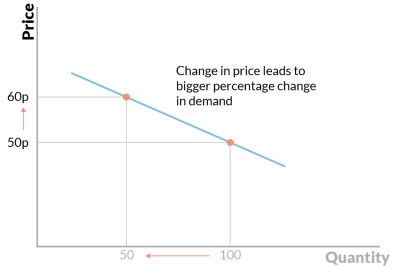
The more substitutes there are for a good, the more elastic the demand will be. This is because if the price of an item changes, consumers can easily switch to another product. If a product has no close substitutes, then it is considered to have an inelastic demand, since customers will still have to purchase that product.

To determine the price elasticity of the demand for a product, you have to first of all measure the percentage change in quantity demanded and divide that by the percentage change in price. In essence:

Price Elasticity of Demand = % Change in Quantity ÷ % Change in Price

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ELASTIC DEMAND



ELASTICITY VS. INELASTICITY OF DEMAND

While a high change in quantity demanded occurs as a result of a change in price or other determining factors like market trends, inelasticity of demand is a situation where there is little to no change in quantity demanded as a result of a change in price or other factors. Inelastic products are staples that a consumer might not be able to live without, and usually, there are no good substitutes for them.

Main Difference Between Elastic and Inelastic Demand

- Elastic Demand means that consumers are willing to purchase more of a product when its price decreases, and less when its price increases. Inelastic Demand means that there is little difference in the amount consumers are willing to buy at different prices;
- When people have to buy items of necessity, they do not buy more or less as the prices go up and down. On the other hand, people are likely to buy more or fewer luxury goods depending on how much money they

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have;

- The elasticity of demand can be calculated as the ratio of a change in price to the change in quantity demanded, if the value is greater than or equal to one, then demand is elastic; but if it's less than one, then demand is inelastic;
- In an elastic demand, revenue and price move in opposite directions; but when demand is inelastic, both move in the same direction;
- A shallow curve results from elastic demand. Conversely, steep slopes are seen when demand is inelastic.

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HOW TO CREATE A WINNING PRICING STRATEGY

- **Evaluate Pricing Potential:**
  You will want to create a pricing strategy that helps your business succeed. To do this, you need to evaluate what your product is worth and determine an approximate minimum and maximum price you will charge for your product, then price accordingly. You may consider the following factors when pricing your product:

    1. Geographical market details
    2. Inventories
    3. Operating costs
    4. Demographic data
    5. Competitive advantages and concerns
    6. Demand fluctuations

- **Define your buyer personas:**
  To price your product correctly, you need to understand your customers and what they want to buy. First, talk to people who have bought your product or similar products. You can then ask your sales team which leads perform best and what makes them

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unique. As part of developing buyer personas, you will need to look at their customer lifetime value, their customer pain points, and their willingness to pay;

- **Identify historical trends:**
  Take a look at how your pricing strategies have worked in the past. You can use closed deals, average customer tenure, and churn data, as well as sales volume to measure which strategies were most successful;

- **Balance business goals with value:**
  When you set your prices, it's important to keep both your customers' needs and your business' profits in mind. A pricing strategy that meets those needs will result in greater profitability and a stronger customer base;

- **Analyze the prices of competitors:**
  If you want to know how to price your product or service, you have to do some research on your competitors. There are two main options available. First, make your price more affordable than your competitors' (also known as an "undercut"), or offer greater value to the customer than your competitors do (also known as "value-based pricing").

THE FOUR CS OF PRICING YOUR PRODUCT

Customers

How do you define your target market? Your target market likely has an income range, but you'll want to have an ideal disposable income range in mind. How much would that customer be willing to pay for your products and services?

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How you price your products/services affects the purchasing behavior and attitudes of your customers.

Price points can communicate a lot about a brand, so make sure they align with an image you want to project and that they speak to your ideal customer.

Current Positioning
How would you describe your brand? Does your business have a low-cost focus, or do you specialize in luxury services? What is your level of market share? Are you a relatively new startup, or do you have an already established market share? Pricing needs to be appropriate to your product or service. You can charge more money from your customers when you offer a high level of luxury (or are more established). To establish the image of your company that you desire, your product and pricing must work together.

Competitors
In what price range do your competitors operate? If a competitor cuts their prices, how will that affect your sales? What if they raise their prices? In what ways are you similar or different from your competitors? Prices from your competitors are an excellent way to get an idea of your pricing. Make sure you know all the major differences between you and your competitors so that you can be flexible with your pricing.

Costs
Spending more than the money you bring in is a losing proposition. Keep your costs as low as possible and make sure that you are making a profit on each unit sold. One way to do this is to make sure that you have enough of a margin between what your customer pays for a product and what it actually costs you to produce it.

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HOW TO IMPROVE YOUR PRICING CAPABILITIES

- **Develop a 1% Pricing Mindset:**
  With every discount of five to ten percent, companies risk losing profits and alienating future customers. Everyone in the company must understand how important every percentage point is to their bottom line and fight for it. Rather than offering discounts, focus on the value you deliver instead;

- **Price strategically, not opportunistically:**
  To appeal to price-conscious customers, companies must be cautious not to sacrifice the integrity of their products to boost volume. Many organizations have experienced that pursuing price-conscious customers who don't value their products and services will only put their core business at risk by trying to please everyone at once.

  To identify who their core customers are, companies must first know who they are not; i.e., those customers who are looking for low prices without regard for quality or service. Instead of reducing price, companies can strip some features from their main product and offer it at a lower price to price-conscious consumers so that they can maintain their core business customers;

- **Diplomacy with the competition:**
  Gathering information about competitors is a key part of business strategy. Rather than making pricing

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decisions based on fear or ignorance, companies can make them based on knowledge. Having a knowledge of the competition's business can help a company to maintain an edge over its rivals.

A company that invests years in building its product or service will most likely lose money if its prices are not aligned with those of its competitors;

- **Consistently deliver more value:**
  Serving your customers is key to business success. By providing value, you provide an incentive for customers to return to your business again and again. Why? Because when you consistently deliver outstanding value, your customer becomes less price sensitive. If your customer feels that what you're delivering is valuable, then they will be more inclined to purchase from you over other competitors.

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SETTING YOUR PRICING STRATEGY: KEY QUESTIONS

The scope of your price plan should go beyond price alone. Before deciding on the right pricing strategy, you need to answer these questions:

1. Is your company creating a new market?
2. How do you define your target audience?
3. Do they use any products similar to yours?
4. How do you differ from your competitors in terms of advantages and benefits?
5. How valuable are those advantages to consumers, and do they value them enough to change?
6. How and where can customers purchase the product or service?
7. Who are your competitors?
8. How much do your competitors charge?
9. What sets you apart from your competitors?
10. Are there growth trends in the market, or is it a well-established market that is static?

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11. Are your customers likely to make a repeat purchase, or will it be a one-time purchase?

12. Do the products come with consumables?

13. By choosing your service or product, what risks are consumers taking?

14. Are the benefits of the product worth those risks?

By answering these questions, you can get a better understanding of how your product or service fits into the market. They can also help you see how your brand and offerings fit into your business strategy as a whole.

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PRICING STRATEGY ADVICE

1. **Think About The Value For Your Customers:**
   Study the market and think about how you are going to enter it. Don't forget that you can always lower your price; however, it will be more difficult to raise it later. Make sure you deliver a high-value product to the consumer; this will justify any price you set and attract more customers;

2. **Be Tactical And Consider The Big Picture:**
   You should not just focus on the short-term when pricing your product or service. Take the long-term into account. For your business to sustain itself for a year, for a few more years, what is the minimum number of sales that it needs? Can each sale contribute to your bottom line? Is it possible to offer discounts or promotions based on the price you set?

3. **Case studies boost willingness to pay quite a bit:**
   When customers see that other people have had great experiences with your company and its products, they are more willing to buy from you. In both B2B and DTC, studies have shown that when you provide proof of the high quality of your products (case studies), people are more willing to pay by 10-15%;

4. **Don't discount over 20%**
   Some businesses may be able to afford a discount of over 20%, but they're likely to experience higher churn. Discounts of that size are a great way to attract

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new customers, but they don't last very long;

5. **Keep Reviewing Your Profit Margins:**
   The more you know about your own value, the easier it is to sell yourself. When customers know the value of your product, they will never feel like they're being taken advantage of, even if you are charging more than your competitors. Don't be afraid to charge what you're worth! But, in the meantime, keep adjusting your margins;

6. **Understand What The Market Dictates**
   Be aware of what your customers are willing to pay, but set prices high enough to make a good profit. It may be more profitable for you to sell to one customer in a given market than to another customer in the same market if you know your customers' preferences;

7. **Don't use percentages for upgrades to annual discounts; try offers**
   You'll get better results from your customers if you offer discounts in the form of a whole dollar amount (for example, "Save $10 off your order" or “one month free”) rather than as a percentage ("10% off"). The churn rate is much lower for annual plans;

8. **Integrations boost retention and willingness to pay:**
   In general, the more add-ons/integrations a customer uses, the more likely they are to pay and the longer they will stay with your service. Instead of charging for add-ons, you might consider using them to retain customers and get them to pay more or buy different add-ons;

9. **Your prices shouldn't be inflated:**
   Taking advantage of high prices is a short-term strategy that will lead to long-term failure. Your goal should be to maximize sales by offering value, not to

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gouge prices. If your customers feel you are giving them a good deal, they will come back again and again;

10. **Utilize freemiums for customer acquisitions, not for product pricing:**
Freemium can be a great way to drive leads, but only if you know how to convert those leads into paying customers. It's best to hold off on implementing a freemium model until you've figured out the best way for your business to convert leads into paying customers.

    It's important to remember, however, that this isn't true for every product. For example, marketplaces or social networks often need a critical mass of users to make their products worthwhile;

11. **Know The Difference Between Value Versus Cost:**
When you price your services, consider the value of what you're offering versus its cost. Your clients may not always be focused on the economic value of what you do; they may place higher perceptive value on what you offer. And while a service might seem expensive in terms of dollars, it may be cheaper for them to use your product.

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THE CHALLENGES OF CHOOSING THE RIGHT SERVICE PRICING STRATEGY

It can be difficult to determine what pricing strategy to implement for your products or services due to reasons like the availability of several pricing strategies, which can make finding the right strategy for your business difficult.

Along with that, you have to properly manage your self-doubt so as not to set low prices below the cost of production while trying to gain customers — unless done intentionally with a well-thought-out future price adjustment in mind. And since no one business is the same, you might have to actively discover the pricing strategy that's right for your business in the course of running the business.

All these can be frightening since there is little to no room for mistakes, however, featured below are some pricing policies and models suitable for different industries and new products.

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PRICING POLICIES FOR NEW PRODUCTS

Before you start developing a new product or service, you need to consider the price you will charge for it. Deciding on a price early on will help you to work out how much time and money you will have available to spend on the project.

Here are a few things you will want to consider when developing pricing policies for your new product:

1. Identify the value of the product — for example, what it offers a customer and whether they will pay what you want;
2. What is your competition charging - does your product or service differ from theirs, or are you following the market trend?
3. What channel would you like to use for sales? This will impact your marketing budget and distribution expenses;
4. What is the timeline for your product or service's establishment?
5. What is the expected lifespan of your product or service?
6. Calculate how much you should charge to cover your costs.

In cost accounting, you should account for all costs involved

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with the product — materials, other inputs, machinery, and operation. It is important to compare different suppliers and determine the marketing and selling costs.

While determining your pricing policies, here are a few pricing strategies most suitable for new products:

1. Skimming Pricing
2. Penetration Pricing
3. Premium Pricing
4. Economy Pricing
5. Bundle Pricing
6. Value-based Pricing
7. Dynamic Pricing

Although these strategies work for new products, you still need to use the tips and guidelines below to determine which one makes the most sense for your product and the industry in which it operates.

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PRICING MODELS BASED ON INDUSTRY OR BUSINESS

Pricing strategies vary according to industry and business. While some pricing strategies work better for certain types of businesses, others will leave a sour taste when applied in less fitting industries. Below is a sampling of some common pricing models used in different industries.

PRODUCT PRICING MODEL

It's important to consider the costs of shipping, production, and storage when selling tangible products. These costs can affect the price of your products. Be aware of your competitors' prices and make sure you have an adequate profit margin as you develop new products for the market.

Competitive pricing, value-based pricing, cost-plus pricing, and premium pricing can all work in this sector.

DIGITAL PRODUCT PRICING MODEL

Pricing digital products like software and e-books is a bit trickier than pricing physical products because there's no tangible product to sell. Instead, you should reflect the value of your brand, industry, and overall product when setting your prices.

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RESTAURANT PRICING MODEL

Restaurant pricing is complex because it involves not just the cost of food, but also the cost of labor. You must also consider your customer base, overall market trends for your location and cuisine, and the cost of food — all of which can fluctuate.

With that context, restaurants may want to examine cost-plus pricing, value-based pricing, and premium pricing.

EVENT PRICING MODEL

Pricing events can be difficult, especially when you consider that there are numerous factors to consider: How much does it cost to hire an event manager? What are the production costs for the event itself? What goes into publicizing and marketing the event? These factors should be considered when setting ticket prices. Event pricing differs from pricing digital products because marketing and organizing costs have to be factored in as well as who will speak, what entertainment will be available, and what networking opportunities exist in the event.

Prices for tickets can be set by implementing one of three pricing models: 1) Competition-based pricing, 2) Dynamic pricing, or 3) Value-based pricing. These strategies can also be combined to better optimize your prices.

SERVICES PRICING MODEL

Most service industries are unable to price their services as they do not work with tangible goods, nor do they have production costs. Consequently, price setting must take into account experience and quality.

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For service pricing, consider using project-based, hourly, and value-based pricing strategies.

NONPROFIT PRICING MODEL

To be sustainable, nonprofits need to think about their pricing strategy. The first thing to consider is how much money it takes to operate and expand a nonprofit. Similarly, licensure, volunteer hours, and communication with stakeholder groups can also increase costs. Most times, nonprofits have to create unique pricing strategies by combining elements from multiple pricing models.

The following pricing models are appropriate for nonprofits: cost-plus pricing, demand pricing, and competitive pricing.

EDUCATION PRICING MODEL

When evaluating education pricing strategies, it is important to take into account a variety of costs, including tuition, scholarships, and additional fees (housing, laboratories, books, meals, etc.). Competition among similar schools is important as well as the number of applications (number of students), number and cost of professors or teachers, and attendance rate.

You might want to use these pricing strategies to determine education pricing: cost-based pricing, competitive pricing, and premium pricing.

REAL ESTATE PRICING MODEL

Many factors influence the cost of a home. The value of a home is determined by the local real estate market conditions, which can vary significantly from one

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neighborhood to another. These conditions include supply and demand, housing inventory, interest rates, and seasonal fluctuations.

For the real estate market, there are several models to consider, including competitive pricing, premium pricing, dynamic pricing, and value-based pricing.

AGENCY PRICING MODEL

Pricing models play a critical role in determining the profitability of an agency and its ability to retain clients. A pricing model can also affect how you market your agency, how happy customers are with their experience and your overall sales. That is why it is important to keep trying different methods to improve profits, so you can determine which strategy works best.

In terms of pricing agencies, consider using project pricing, hourly pricing, and value-based pricing.

MANUFACTURING PRICING MODEL

When setting a price for your product in the manufacturing industry, you need to consider production costs, sales volumes, demand, and changes that keep your product competitive. You also need to factor in what the market will bear—the maximum amount it will pay for your specific product.

For manufacturers, competitive pricing, cost-plus pricing, and value-based pricing are among the best options.

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ECOMMERCE PRICING MODEL

Ecommerce pricing models determine how much to charge for your products and how much it will cost you to sell them. This means you must consider what your customers are willing to pay for those products, how much it costs you to make and/or purchase them, as well as how easily customers can find similar products on your competitors' eCommerce sites. You should also keep your marketing costs in mind when making pricing decisions.

eCommerce pricing can be accomplished through cost-based pricing, competitive pricing, dynamic pricing, penetration pricing, freemium pricing, and value-based pricing.

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HOW TO CONDUCT A PRICING ANALYSIS

You should first find out who your competitors are. It's crucial to know who you're up against! Put together a list of companies that offer similar goods and services to yours at comparable prices. You should also consider how long you have been in business and what kind of customers you have attracted. Take these factors into consideration when determining who your competitors are.

You should then determine what your competitors are offering. Specifically, this refers to both what they offer in terms of products and what they offer in terms of value. Assess what they're offering your customers and how that compares to what you can provide. How do they operate? What kind of value do they provide?

Be sure to research the prices of your competitors and do your homework. You should consider their discount sales, how often they happen, and how much they discount when they do. If you're dealing with similar inventory, this is of particular importance. Considering the shipping costs for these items and the effect that will have on profit will be beneficial. As one of the top reasons why customers abandon their carts is high shipping costs, you will need to cover a portion of the shipping costs to appeal to a wider audience. You should keep your shipping costs a little bit below your competitor's.

Take a look at how your competitors are promoting their

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products. Check out their engagement rates, and see how they promote their content. As a result, you will learn about the most effective ways to engage your customers with your product and marketing. Analyze their content strategy, and note how different types of posts are promoted-one may be aimed at marketing, while others may be lifestyle or conversation-focused.

A SWOT analysis can also be used to evaluate the strengths and weaknesses of the company, as well as its opportunities and threats. Your overall understanding of how the company works will be enhanced by this broader perspective.

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PRICING STRATEGIES FAQS

- **What is the best way to determine a product's selling price?**
  Start by finding a pricing strategy that works well for your business model and product. Despite the differences in pricing strategies, they all serve the same purpose as a guide to determining your price;

- **What are the four most common pricing strategies?**
  In different industries and business models, competitive, value-based, cost-plus, and dynamic pricing models are all commonly used;

- **What are pricing curves?**
  Pricing curves are graphs that show how many people are willing to pay a particular price for a product;

- **Which one of all these pricing strategies is the simplest?**
  Cost-plus pricing is the simplest form of pricing because it only requires you to add your product's cost plus an arbitrary percentage;

- **What is the most effective pricing strategy?**
  Your business model will determine which pricing strategy will work best for you. However, a value-based pricing model is recommended for SaaS companies, subscription services, and many others.

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CONCLUSION

While the main aim of pricing strategies is to maximize demand for products or services by reducing or removing the barriers to purchasing through pricing and promotions. The methods by which you can do this are numerous, but there is no one size fits all approach. What works for one industry may not work as well in another. This is why researching competitors is a great idea, however, relying on that alone isn't wise since the market is always changing and what your competitors might be using aren't the best strategies for the industries (although this is unlikely). Hopefully, some of these processes and resources explained above will help you find the right pricing model for your own business. Put them to good use and make sure you are aware of your competition.

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